Please find below the December year-over-year financial performance summary. Total revenue grew +1.5% to $320.4M with margin improving +0.5pp to 52.1%. While the headline is positive, the underlying trends reveal areas of both strength and concern that warrant discussion.

TOTAL REVENUE	TOTAL MARGIN	MARGIN RATE
$315.8M - $320.4M (+1.5%)	**$163M - $167.0M (+2.4%)**	**51.6% - 52.1% (+0.5pp)**

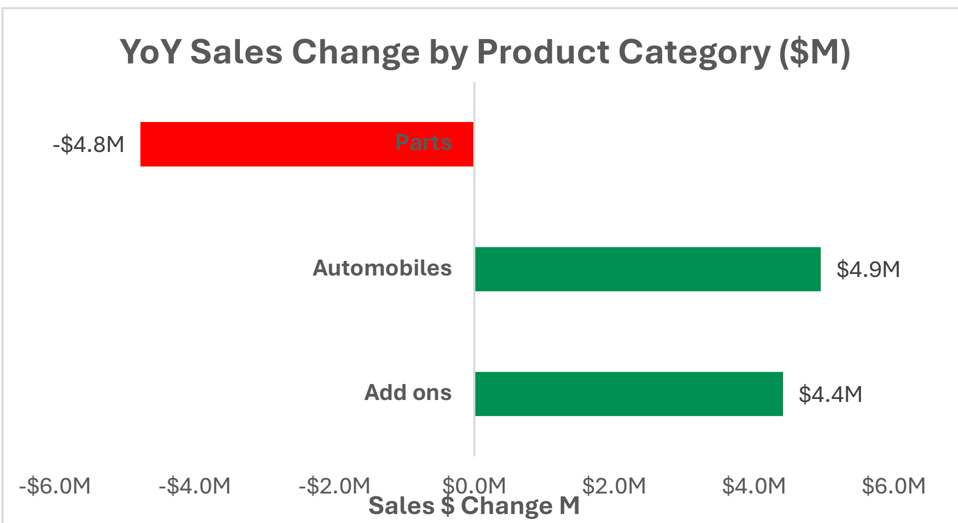
Key Findings

1. Automobiles: The Profit Got Stronger

Automobile sales grew +2.4% (+$4.9M) while total costs decreased **$393K** despite selling 7,054 more units. Margin rate improved from 53.4% to 54.7% (+1.3pp). **Small SUV** led growth (+7.7% sales, +2.6pp margin gain) while **Trucks** are 43% of Automobile sales and carry the highest profitability at 58.1% margin. **Cost per unit** dropped -3.7% across the segment, reflecting strong manufacturing efficiency.

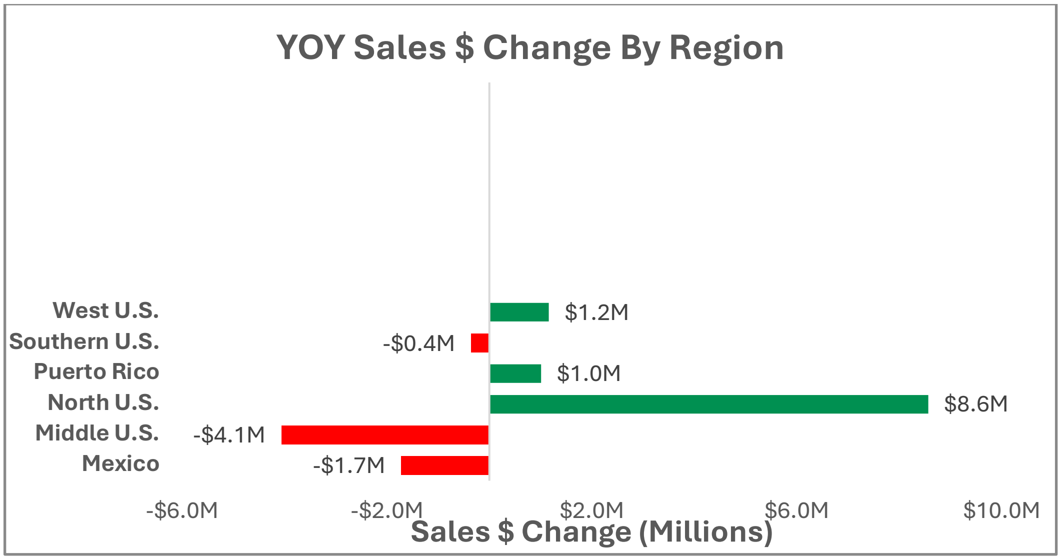
2. Parts Revenue Declined -6.6% Despite Volume Growth

Parts sold 34,060 more units (+2.1%) but revenue **dropped $4.8M (-6.6%)**. Average selling price collapsed from $45.75 to $41.85 (**-8.5% per unit**). Parts revenue declined $4.8M, partially offset by $2.6M in cost reductions, resulting in a net margin loss of $2.2M.The pricing decline warrants investigation into discounting strategy.



3. Regional Growth Heavily Concentrated in North U.S.

North U.S. generated +$8.6M in sales growth (+12.4%) and +$4.7M in margin, more than the entire company's net gain. ASP rose +8.2% ($159 → $172). This is the ideal growth: selling more units at higher prices. **Middle U.S.** is the biggest concern: volume surged +14.8% but sales **dropped -5.3% (-$4.1M)** as ASP collapsed -17.5%. Mexico declined -8.2% in sales but improved margin rate +4.7pp through aggressive cost cuts (-18.4%).



4. Tier Mix Shifting: High-End Growing, Luxury Declining

High-End was the largest growth driver (+$6.0M sales, +8.7%) with stable 57.9% margin. **Standard** delivered the best margin story: +$4.3M in margin on +$3.9M sales, with cost per unit dropping -4.9%. However, **Luxury** (highest-margin tier at 64.1%) **declined -12.0% in sales (-$4.8M)**, **Non-Tier** saw margin decline -$1.4M as costs grew +1.7% while sales remained flat, compressing margin rate by -1.1PP.

Summary

Category	PY Sales	CY Sales	$ Change	% Change
Automobiles	$203.5M	$208.4M	+$4.9M	+2.4%
Add Ons	$39.6M	$44.0M	+$4.4M	+11.1%
Parts	$72.7M	$67.9M	-$4.8M	-6.6%
Total	**$315.8M**	**$320.4M**	**+$4.6M**	**+1.5%**

Recommendations

1. Investigate Parts pricing decline: The -8.5% ASP drop represents $6.3M in lost revenue from pricing alone. We need to determine whether this is competitive pressure, or intentional discounting before the trend deepens.

2. Address Middle U.S. pricing collapse: ASP dropped -17.5% while volume surged +14.8%. This region is trading price for volume aggressively. We should review the pricing strategy and determine if this is sustainable or worsening

3. Understand Luxury segment decline: As our highest-margin tier (64.1%), the -12.0% sales drop and -$2.6M margin loss requires attention. We should assess whether this reflects market conditions competitive losses, or something else.

4. Capitalize on Automobiles efficiency gains: The -3.7% cost per unit reduction while growing volume is a strong operational achievement. We should document what drove these efficiencies (particularly in Sedan cost per/unit -7.0% and Small SUV cost per/unit -5.3%) and replicate across other segments.

I welcome the opportunity to discuss these findings in more detail or brainstorm more. Can always Explore different angels and dynamics to isolate problems even further.